

Software Development Agreement (High Risk)

SOFTWARE DEVELOPMENT AGREEMENT

This Software Development Agreement ("Agreement") is entered into as of January 15, 2026 ("Effective Date"), by and between:

PARTY A: TechVision Solutions Inc.

Address: 450 Market Street, Suite 2000, San Francisco, CA 94102

Jurisdiction: Delaware

Contact: Sarah Mitchell, CEO

Email: sarah.mitchell@techvision.com

Party Value: \$15,000,000 (estimated annual revenue)

AND

PARTY B: GlobalRetail Corporation

Address: 1000 Commerce Drive, Chicago, IL 60601

Jurisdiction: Illinois

Contact: Michael Chen, CTO

Email: michael.chen@globalretail.com

Party Value: \$500,000,000 (estimated annual revenue)

RECITALS

WHEREAS, TechVision Solutions Inc. is a software development company specializing in enterprise e-commerce platforms;

WHEREAS, GlobalRetail Corporation desires to engage TechVision Solutions Inc. to develop a custom inventory management system;

NOW, THEREFORE, in consideration of the mutual covenants and agreements herein contained, the parties agree as follows:

1. SCOPE OF WORK

1.1 Development Services: TechVision Solutions Inc. ("Developer") shall design, develop, test, and deploy a cloud-based inventory management system ("System") according to the specifications outlined in Exhibit A attached hereto.

1.2 Timeline: The project shall be completed in three phases over a period of 12 months from the Effective Date, with specific milestones as follows:

- Phase 1 (Months 1-4): Requirements gathering and system architecture design
- Phase 2 (Months 5-9): Core development and integration
- Phase 3 (Months 10-12): Testing, deployment, and training

1.3 Deliverables: Developer shall provide the following deliverables:

- Complete source code and documentation
- User manuals and training materials
- API documentation and integration guides
- 90 days of post-deployment support

2. PAYMENT TERMS

2.1 Total Contract Value: The total fee for services shall be \$2,800,000 USD, payable as follows:

- \$700,000 upon execution of this Agreement
- \$1,050,000 upon completion of Phase 2

- \$1,050,000 upon final acceptance of the System

2.2 Expenses: GlobalRetail shall reimburse Developer for all reasonable pre-approved expenses, including third-party software licenses, cloud infrastructure costs, and travel expenses not to exceed \$150,000.

2.3 Late Payment: Any payment not made within 30 days of the invoice date shall accrue interest at the rate of 1.5% per month or the maximum rate permitted by law, whichever is lower.

3. INTELLECTUAL PROPERTY RIGHTS

3.1 Work Product Ownership: Upon full payment of all fees, all right, title, and interest in the custom-developed System, including all source code, documentation, and related materials ("Work Product"), shall transfer to GlobalRetail.

3.2 Pre-Existing Materials: Developer retains all rights to any pre-existing code, frameworks, libraries, or tools ("Pre-Existing Materials") incorporated into the Work Product. Developer hereby grants GlobalRetail a perpetual, worldwide, non-exclusive, royalty-free license to use such Pre-Existing Materials as part of the System.

3.3 Third-Party Components: Developer shall identify all third-party open-source components used in the System and ensure compliance with all applicable licenses.

4. CONFIDENTIALITY

4.1 Definition: "Confidential Information" means all non-public information disclosed by either party, including but not limited to technical data, business plans, customer lists, financial information, and proprietary algorithms.

4.2 Obligations: Each party shall:

- Maintain the confidentiality of the other party's Confidential Information

- Use Confidential Information solely for purposes of this Agreement
- Limit disclosure to employees and contractors with a need to know
- Protect Confidential Information with at least the same degree of care used for its own confidential information, but no less than reasonable care

4.3 Duration: These confidentiality obligations shall survive for a period of 5 years following termination of this Agreement.

5. WARRANTIES AND REPRESENTATIONS

5.1 Developer Warranties: Developer warrants that:

- The Work Product will be developed in a professional and workmanlike manner
- The Work Product will conform to the specifications in Exhibit A
- The Work Product will be free from material defects for 90 days following final acceptance
- Developer has the right and authority to grant the licenses specified herein
- The Work Product will not infringe any third-party intellectual property rights

5.2 Client Warranties: GlobalRetail warrants that:

- It has the authority to enter into this Agreement
- All information and materials provided to Developer are accurate and complete
- It will cooperate with Developer to facilitate timely completion of the project

5.3 DISCLAIMER: EXCEPT AS EXPRESSLY SET FORTH IN THIS AGREEMENT, DEVELOPER MAKES NO WARRANTIES, EXPRESS OR IMPLIED, INCLUDING WITHOUT LIMITATION ANY IMPLIED WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE.

6. LIMITATION OF LIABILITY

6.1 Cap on Liability: EXCEPT FOR BREACHES OF CONFIDENTIALITY OR INTELLECTUAL PROPERTY INDEMNIFICATION OBLIGATIONS, NEITHER PARTY'S TOTAL LIABILITY ARISING OUT OF OR RELATED TO THIS AGREEMENT SHALL EXCEED THE TOTAL FEES PAID OR PAYABLE UNDER THIS AGREEMENT IN THE 12 MONTHS PRECEDING THE EVENT GIVING RISE TO LIABILITY.

6.2 Exclusion of Damages: IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR PUNITIVE DAMAGES, INCLUDING LOST PROFITS, LOSS OF DATA, OR BUSINESS INTERRUPTION, EVEN IF ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

6.3 Exceptions: The limitations in this Section 6 shall not apply to:

- Gross negligence or willful misconduct
- Breaches of confidentiality obligations
- Indemnification obligations under Section 7

7. INDEMNIFICATION

7.1 Developer Indemnification: Developer shall indemnify, defend, and hold harmless GlobalRetail, its officers, directors, employees, and agents from and against any and all claims, damages, liabilities, costs, and expenses (including reasonable attorneys' fees) arising from:

- Any breach of Developer's warranties or representations
- Any allegation that the Work Product infringes any third-party intellectual property rights
- Any gross negligence or willful misconduct by Developer

7.2 Client Indemnification: GlobalRetail shall indemnify, defend, and hold harmless Developer from and against any claims arising from:

- GlobalRetail's use of the System in violation of applicable laws
- Any materials, data, or content provided by GlobalRetail
- Any modifications to the System made by GlobalRetail or third parties not authorized by Developer

7.3 Indemnification Procedure: The indemnified party shall:

- Promptly notify the indemnifying party of any claim
- Provide reasonable cooperation in the defense
- Allow the indemnifying party to control the defense and settlement
- Not settle any claim without the indemnifying party's prior written consent

8. TERMINATION

8.1 Termination for Convenience: Either party may terminate this Agreement upon 60 days' written notice to the other party. In such event, GlobalRetail shall pay Developer for all work completed and accepted through the termination date, plus any non-cancellable expenses.

8.2 Termination for Cause: Either party may terminate this Agreement immediately upon written notice if the other party:

- Materially breaches this Agreement and fails to cure within 30 days of written notice
- Becomes insolvent or files for bankruptcy
- Ceases business operations

8.3 Effect of Termination: Upon termination:

- Developer shall deliver all Work Product completed to date
- GlobalRetail shall pay all undisputed fees for work accepted
- Sections 3, 4, 6, 7, and 9 shall survive termination

9. GENERAL PROVISIONS

9.1 Governing Law: This Agreement shall be governed by and construed in accordance with the laws of the State of California, without regard to its conflict of law provisions.

9.2 Dispute Resolution: Any dispute arising out of or relating to this Agreement shall be resolved as follows:

- First, through good faith negotiation between senior executives of both parties
- If not resolved within 30 days, through binding arbitration in San Francisco, California under the rules of the American Arbitration Association
- The prevailing party shall be entitled to recover reasonable attorneys' fees and costs

9.3 Force Majeure: Neither party shall be liable for any delay or failure to perform due to causes beyond its reasonable control, including acts of God, war, terrorism, labor disputes, or government actions.

9.4 Independent Contractors: The parties are independent contractors. Nothing in this Agreement creates a partnership, joint venture, agency, or employment relationship.

9.5 Assignment: Neither party may assign this Agreement without the other party's prior written consent, except that either party may assign to a successor in connection with a merger, acquisition, or sale of substantially all assets.

9.6 Entire Agreement: This Agreement, including all exhibits, constitutes the entire agreement between the parties and supersedes all prior agreements and understandings, whether written or oral.

9.7 Amendments: This Agreement may be amended only by a written instrument signed by both parties.

9.8 Notices: All notices shall be in writing and delivered by email with confirmation, certified mail, or overnight courier to the addresses specified above.

9.9 Severability: If any provision of this Agreement is held to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.

9.10 Waiver: No waiver of any provision shall be effective unless in writing, and no waiver shall constitute a waiver of any other provision or subsequent breach.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

TECHVISION SOLUTIONS INC.

By: _____

Name: Sarah Mitchell

Title: Chief Executive Officer

Date: January 15, 2026

GLOBALRETAIL CORPORATION

By: _____

Name: Michael Chen

Title: Chief Technology Officer

Date: January 15, 2026

EXHIBIT A - SPECIFICATIONS

[Detailed technical requirements would be listed here]
